BOC GASES
A Member of The Linde Group

AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2022

The Directors of BOC Kenya PLC announce the audited Group results for the year ended 31 December 2022

Summarised consolidated statement of profit or loss
For the year ended 31 December 2022

	2022 KShs '000	2021 KShs '000
Revenue	1,287,250	1,381,768
Earnings before finance income and taxes	**177,587**	**128,144**
Net finance income	35,839	40,849
Profit before income tax	213,426	168,993
Income tax expense	(65,434)	(60,644)
Profit for the year	**147,992**	**108,349**
Basic earnings per share	**KShs. 7.58**	**KShs. 5.55**
Dividend per share:		
Interim paid	KShs. 1.60	KShs. 1.50
Final proposed	KShs. 4.45	KShs. 2.90
Total dividend	**KShs 6.05**	**KShs 4.40**

Summarised consolidated statement of financial position
At 31 December 2022

	2022 KShs '000	2021 KShs '000
ASSETS		
Non-current assets	805,398	841,649
Current assets	1,145,484	1,155,459
Total assets	**1,950,882**	**1,997,108**
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,460,642	1,400,515
Other reserves	103,359	90,670
Total equity	**1,661,628**	**1,588,812**
Non-current liabilities	7,678	7,726
Current liabilities	281,576	400,570
Total liabilities	**289,254**	**408,296**
Total equity and liabilities	**1,950,882**	**1,997,108**

Summarised consolidated statement of cash flows
For the year ended 31 December 2022

	2022 Kshs'000	2021 Kshs'000
Cash generated from operations	**(99,736)**	**210,455**
Tax paid	(66,104)	(68,853)
Net cash flows from operating activities	**(165,840)**	**141,602**
Interest & dividends received	36,896	44,028
Cash inflows from other investing activities	(87,487)	198,123
Net cash flows from investing activities	**(50,591)**	**242,151**
Lease liabilities & interest paid	(1,052)	(1,052)
Dividends paid	(87,865)	(110,319)
Increase in cash and cash equivalents	**(305,348)**	**272,382**
Cash and cash equivalents at start of the year	585,794	315,498
Effect of exchange rates	(3,328)	(2,086)
Cash and cash equivalents end of the year	**277,118**	**585,794**

Summarised consolidated statement of changes in equity
For the year ended 31 December 2022

	2022 Kshs'000	2021 Kshs'000
At 1 January	**1,588,812**	**1,607,568**
Net profit for the year	147,992	108,349
Change in fair value of financial assets at FVOCI	14,850	(16,335)
Currency translation	(2,161)	(451)
Dividends	(87,865)	(110,319)
At 31 December	**1,661,628**	**1,588,812**

Results:

Following the dissipation of Covid-19 induced demand for medical oxygen towards the end of 2021, sales volumes reverted to normal levels in 2022. Revenue growth was realised from medical oxygen infrastructure projects in various hospitals as many hospitals sought to increase the availability of oxygen in their facilities. The projects comprised installation of oxygen bulk tanks and construction of medical gas pipelines.

The industrial gases sector also performed relatively well in the year. Though the sector is increasingly competitive and price sensitive, the quality and safety of our products continues to be valued by customers.

Profit before tax increased by 26% due to the net impact of the Company not having to import oxygen in the year. This was because of demand returning to normal levels. In addition, there was a modest reduction in the cost of electricity.

Cash generated from operations was negative due to the funding requirements of new tender business won in the second half of the year. Total current assets remained at nearly the same level.

Outlook:

Ongoing improvements in oxygen infrastructure in the healthcare sector in the Country post the Covid-19 is leading to increased demand for medical oxygen across the Country. During the last two years the Company has had opportunity to install a large portion of this infrastructure, primarily comprising of bulk oxygen storage tanks and the related gas pipelines. The Company will continue to support this sector by ensuring the infrastructure remains in serviceable condition and medical grade oxygen remains available.

The Company is continuing with its focus on productivity, driven primarily by Continuous Improvement initiatives. This will aid in

- Ensuring its high product quality of many years will be maintained,
- No comprises are made on Safety; and,
- Operations are efficient to ensure competitiveness in the marketplace.

Dividend:

The Board of Directors is pleased to recommend approval at the next Annual General Meeting of a final dividend of KShs 4.45 per ordinary share, payable net of Withholding Tax on or about the 21 July 2023, to Shareholders on the Register at the close of business on 28 April 2023 (2022: 2.90).

Annual General Meeting

The Board of Directors also announces that the Annual General Meeting of the Company will be held virtually on Thursday 22 June 2022 at 11.00 a.m.

BY ORDER OF THE BOARD
Ruth Ngobi
Company Secretary
BOC Kenya Plc
28 April 2023
These results are an extract from the consolidated financial statements of BOC Kenya Plc for the year ended 31 December 2022, as audited by PricewaterhouseCoopers LLP (Kenya), Certified Public Accountants, and on which an unqualified opinion has been issued.